BETA ALPHA PSI / 2026 CASE COMPETITION

FY2026 AUDIT RISK ASSESSMENT

Cascade Warehouse Club, Inc.

Risk-based audit planning for a fictional membership retailer



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RISK / EVIDENCE / RESPONSE

CASE CONTEXT

The company & our assignment

An audit-planning exercise, not a completed financial statement audit

58	$9.592B	35	$336M
warehouses	total revenue	ERP conversions	operating income

WHAT CHANGED IN FY2026

01 A new inventory and ERP system went live in 35 warehouses.

02 A calendar-year volume rebate agreement was signed with Summit Foods.

03 Cash Card breakage assumptions increased from 5% to 8%.

04 Three warehouses opened while the finance function experienced turnover.

THE AUDIT PARTNER'S QUESTION

"Where are the statements most likely to be wrong, and how should we spend our time finding out?"

Deliverable: top 3 risks, estimated exposure, targeted procedures, a control test and a lower-focus area.

EXECUTIVE ASSESSMENT

Three risks. One earnings-quality question.

Ranked by financial exposure, estimation uncertainty and internal-control evidence

01

SUPPLIER REBATE

5% tier may be unsupported

Purchase forecast below $650M threshold; rebate charged entirely to COGS.

$13.2M receivable / up to $15.4M income

02

INVENTORY & ERP

Shrink and records may be misstated

New system, incomplete cycle-count coverage, manual receipts and broad access.

~$4.0M–$5.5M additional shrink scenario

03

CASH CARD BREAKAGE

Lifetime breakage estimate may be high

8% estimate conflicts with mature redemption history; no independent review.

$6.4M one-time Q4 revenue adjustment

Management incentive: $336M reported operating income vs. $330M executive bonus trigger.

Why small changes matter

The significance of an error depends on size, aggregation and its effect on decisions

$16.0M	$12.0M	$0.8M
overall materiality	performance materiality	clearly trivial threshold

EARNINGS SENSITIVITY

Reported operating income	$336.0M
Less: one-time Cash Card breakage uplift	−$6.4M
Illustrative income after full reversal	$329.6M

A scenario only: the $6.4M adjustment is not proven incorrect.

AUDIT SIGNIFICANCE

$330M

Executive bonus trigger

CEO and CFO each earn a bonus equal to 50% of salary at or above the threshold.

Creates a fraud risk factor — not proof of fraud.

PRIORITY AUDIT RISK

Risk 01 | Supplier rebate recognition

Receivable valuation · inventory valuation · COGS accuracy

REBATE ELIGIBILITY & FORECAST

5% tier requires **$650M**

Projected calendar-year spend **$644M**



$440M through Aug + ($55M × 4) − ($8M × 2) = $644M

POTENTIAL EXPOSURE

$13.2M

receivable overstatement

$15.4M income impact*

IF ONLY THE 2% TIER IS SUPPORTED

Recorded rebate	5% × $440M	**$22.0M**
Supported tier, conditional	2% × $440M	**$8.8M**
Excess rebate receivable	$22.0M − $8.8M	**$13.2M**
COGS understated → income overstated	$22.0M − (75% × $8.8M)	**$15.4M**

AUDIT RESPONSE

- Confirm terms and purchases with Summit.
- Challenge forecasts and holiday assumptions.
- Recalculate rebate; allocate to COGS / inventory.

*Conditional scenario; at the 5% tier, $5.5M may still belong in inventory. $15.4M exceeds $12M performance materiality.

PRIORITY AUDIT RISK

Risk 02 | Inventory & ERP conversion

Inventory existence / valuation · COGS completeness / accuracy

Management booked shrink at 0.20% of sales; independent indicators suggest higher loss rates.

GROUP-SPECIFIC SHRINK ESTIMATE

Warehouse group	Sales base	Rate gap	Exposure
23 old-system warehouses	$3,640M	0.03%	**$1.09M**
35 new-system sites[1]	$2,950M	0.10–0.15%	**$2.95–4.43M**

Indicative additional shrink **$4.04M–$5.52M**

WHY RECORDS MAY BE WRONG

$41M manual goods receipts

14 managers with unapproved inventory adjustment access

$3.1M manual entry self-approved

[1]New-system period only: Mar–Aug sales. Assumes loss-prevention rates apply to those sales and comparable 0.20% was booked.

Evidence-based sensitivity, not a proven total error; prior-period losses and uncounted inventory require further testing.

One control worth testing deeply

Inventory adjustment authorization after the March 2026 system conversion

CONTROL FAILURE SIGNAL

14 warehouse managers retained the ability to post inventory adjustments without independent second approval.

EXPECTED CONTROL

Role-based access limits adjustments; an independent reviewer authorizes material changes before posting.

HOW TO TEST

Obtain access listings and adjustment logs; select unusual / high-value entries and inspect approvals and supporting evidence.

IF THE CONTROL FAILS

Expand substantive inventory counts and adjustment testing; assess whether the issue is a significant deficiency or material weakness.

Related override signal

A $3.1M ERP conversion suspense balance was cleared to COGS by a journal entry prepared and approved by the same assistant controller.

PRIORITY AUDIT RISK

Risk 03 | Cash Card breakage

Cash Card liability completeness / valuation · revenue accuracy

ESTIMATE CHANGE

5% → 8%

Management's assumed lifetime breakage increased in FY2026.

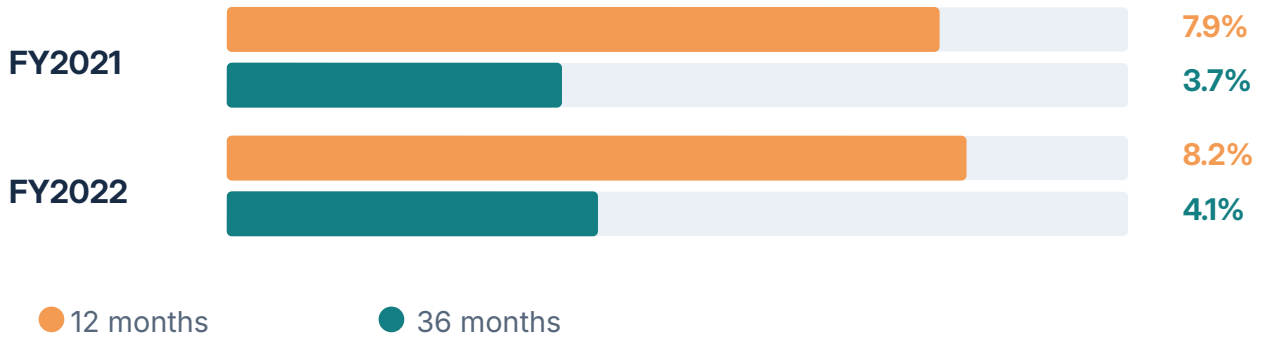
$6.4M

one-time revenue uplift in Q4

No review outside treasury noted.

WHAT HISTORICAL COHORTS SHOW

Percent of card value still unredeemed



AUDIT TESTS & CONCLUSION TRIGGER

Recalculate card-level cohorts through later redemption periods; trace the $6.4M entry to the ledger; reconcile $141M + $412M − $397M − $8M = $148M closing liability.

If mature cohorts support materially less than 8%, evaluate a revenue reversal and liability increase. Grocery-store cards ($38M sold) lack separate redemption history.

What evidence would change our view?

Our conclusions remain conditional until the audit procedures are performed

PRIORITY	ACCOUNT / ASSERTION	EXPOSURE	EVIDENCE TO OBTAIN	DECISION RULE
01 Rebate	Rebate receivable: valuation Inventory: valuation COGS: accuracy	**$13.2M asset; $15.4M profit***	Confirm contract / purchases; review purchase forecast; recalc inventory share.	5% is supported only with reliable threshold evidence.
02 Inventory	Inventory: existence / valuation COGS: completeness / accuracy	**$4.04M–$5.52M†**	Observe counts; reconcile cycle counts; inspect receiving logs and adjustment approvals.	Expand work if unexplained losses / access exceptions persist.
03 Cash Cards	Liability: completeness / valuation Revenue: accuracy	**$6.4M Q4 uplift at risk**	Reperform mature cohorts; test $6.4M entry; tie card activity to ledger.	Correct breakage if card-level evidence does not support 8%.

Fraud risk factor: earnings-sensitive estimates / potential management override. These indicators do not establish fraudulent conduct.

*Assumes only the 2% tier is justified and 25% of rebate-related purchases remain unsold. †Sales-window sensitivity, not a proven year-end misstatement.

RESOURCE ALLOCATION

Direct limited audit hours to uncertainty

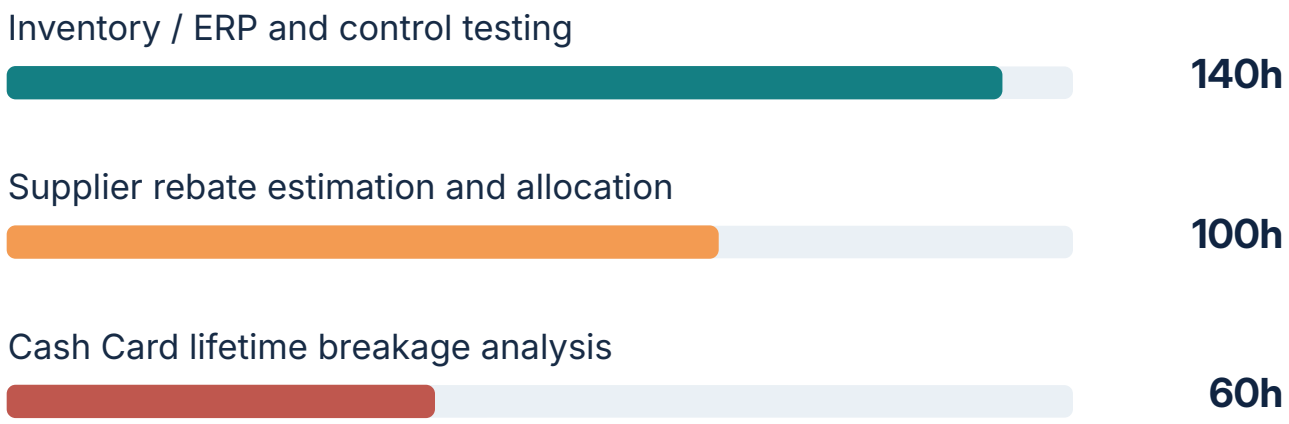
A risk-based plan is about selective effort, not ignoring other accounts

6,200
FY2026 audit hours

5,900
FY2025 hours used

+300
illustrative incremental hours

PROPOSED USE OF 300 INCREMENTAL HOURS



Allocation is illustrative; the remaining audit hours still cover the full engagement.

RELATIVELY LOWER FOCUS

Property, Plant & Equipment

$140M of new warehouse construction was capitalized using a process tested last year without exceptions.

Still test invoices, capitalization, cutoff and depreciation; reduce incremental effort, not basic audit coverage.

CONCLUSION

Our recommendation: follow the evidence

Three focused priorities for fieldwork beginning in two weeks

01

Challenge management estimates

Reassess the 5% rebate assumption and 8% Cash Card breakage rate using independent evidence.

02

Verify inventory integrity

Expand post-conversion counts, inspect manual receipts, test adjustments and access permissions.

03

Correct only supported errors

Compare results with $12M performance and $16M overall materiality; aggregate identified misstatements.

Bottom line: estimated exposures warrant scrutiny — but the audit must distinguish uncertainty from a confirmed misstatement.